25900059 **Reg.No : .....**

Name : .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) REGULAR EXAMINATION MARCH 2025

SECOND SEMESTER

Multi-Disciplinary Courses (MDC) - MG2MDCECO100 - UNDERSTANDING INDIAN ECONOMY

(2024 ADMISSION ONWARDS)

Duration: 1.5 Hours **Maximum Marks: 50**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

Multiple Choice Questions

Answer all questions

Each question carries **1** marks

1. Nominal GNP is the same as [K] / [CO1]

   a). GNP @ constant Price b). Real GNP

   c). GNP @current prices d). GNP less Net income from abroad

2. Climate action is realted to which of the Sustainable Development Goals [K] / [CO1]

   a). 11 b). 12

   c). 13 d). 14

3. What can the government do to control inflation [U] / [CO1]

   a).Decrease spending b).Increase spending c).Maintain the same level of spending d).Ignore spending policies

4. Which of the following is a part of National Income [K] / [CO1]

a). Old age pension
b). unemployment allowance
c). Profit
d). Scholarship

5. What is the target year of India to achieve net-zero in carbon emissions [K] / [CO1]

a). 2050
b). 2060
c). 2070
d). 2080

6. Which of the following is the oldest stock exchange in India? [K] / [CO4]

a). NSE
b). BSE
c). CSE
d). DSE

7. What is the effect of rupee appreciation on imports? [K] / [CO4]

a). Imports become costlier
b). Imports become cheaper
c). Imports remain unaffected
d). Trade deficits automatically increase

8. The primary regulator of Indian financial markets is [K] / [CO4]

a). RBI
b). SEBI
c). Ministry of Finance
d). National Stock Exchange

9. Who regulates cooperative banks in India? [K] / [CO4]

a). NABARD and RBI jointly
b). Ministry of Finance exclusively
c). State Governments only
d). SEBI

10. A market where new securities are issued for the first time is called. [K] / [CO4]

a). Seondary market
b). Tertiary market
c). Primary market
d). Futures market

11. What is the primary function of the Finance Commission? [U] / [CO5]

a). To formulate monetary policy
b). To recommend the distribution of financial resources between the Centre and States
c). To approve Union Budget allocations
d). To regulate banking operations

12. Kerala Land Reforms (Amendment) act was came into force in: [K] / [CO5, CO6]

a). 1969 b). 1954

c). 1970 d). 1974

13. What happens when the Fiscal Deficit is high? [U] / [CO5]

a). Government does not need to borrow b). Government increases its borrowings to meet expenses

c). Inflation reduces automatically d). Economic growth always increases

14. Which of the following is NOT a direct tax? [K] / [CO5, CO6]

a). Personal Income Tax b). Corporate Income Tax

c). GST d). Capital Gains Tax

15. Name the bill that contains the proposals for revenue collection [K] / [CO5]

a). Finance Bill b). Ordinary Bill

c). Grants d). Appropriation Bill

[1x15 = 15]

Part B

Short Answer Questions

Answer any **10** questions

Each question carries **2** marks

16. Discuss briefly the Cheap money policy [U] / [CO2]

17. Define the concept of WPI [K] / [CO3]

18. Explain in short the concept of stagflation [K] / [CO3]

19. Explain the indicators of Human Development Index [U] / [CO1]

20. What do you mean by legal tender money [K] / [CO2]

21. Define Balance of Payments. [K] / [CO4]

22. Name two of India's key exports and key imports commodities. [K] / [CO4]

23. Describe the significance of maintaining foreign exchange reserves for India. [K] / [CO4]

24. What is the primary objective behind establishing small finance banks in India? [K] / [CO4]

25. What steps can a consumer take if their complaint is not resolved by a bank's internal grievance redressal mechanism? [K] / [CO4]

26. What is Fiscal Policy? [K] / [CO5, CO6]

27. What do you mean by FRBM Act ? [U] / [CO5, CO6]

28. Summarise the Introduction of GST in India. [U] / [CO5, CO6]

29. What are the differnce between fiscal deficit and revenue deficit? [K] / [CO5, CO6]

[2x10 = 20]

Part C

Short Essay Questions

Answer any **3** questions

Each question carries **5** marks

30. Evaluate incidence of poverty in India [U] / [CO1]

31. What is climate change? What are the major causes of climate change? [K] / [CO1]

32. Describe in detail the 4 pillars of COP28 [K] / [CO1]

33. What are the challenges and future prospects for UPI in India's digital payment ecosystem. [K] / [CO4]

34. Describe India’s current Balance of Payments situation, highlighting the key contributors to its trade deficit and services surplus. [K] / [CO4]

35. Elaborate the features of Kerala economy ? [K] / [CO5, CO6]

36. Briefly explain the causes and impact of public expenditure in India? [K] / [CO5, CO6]

[5x3 = 15]